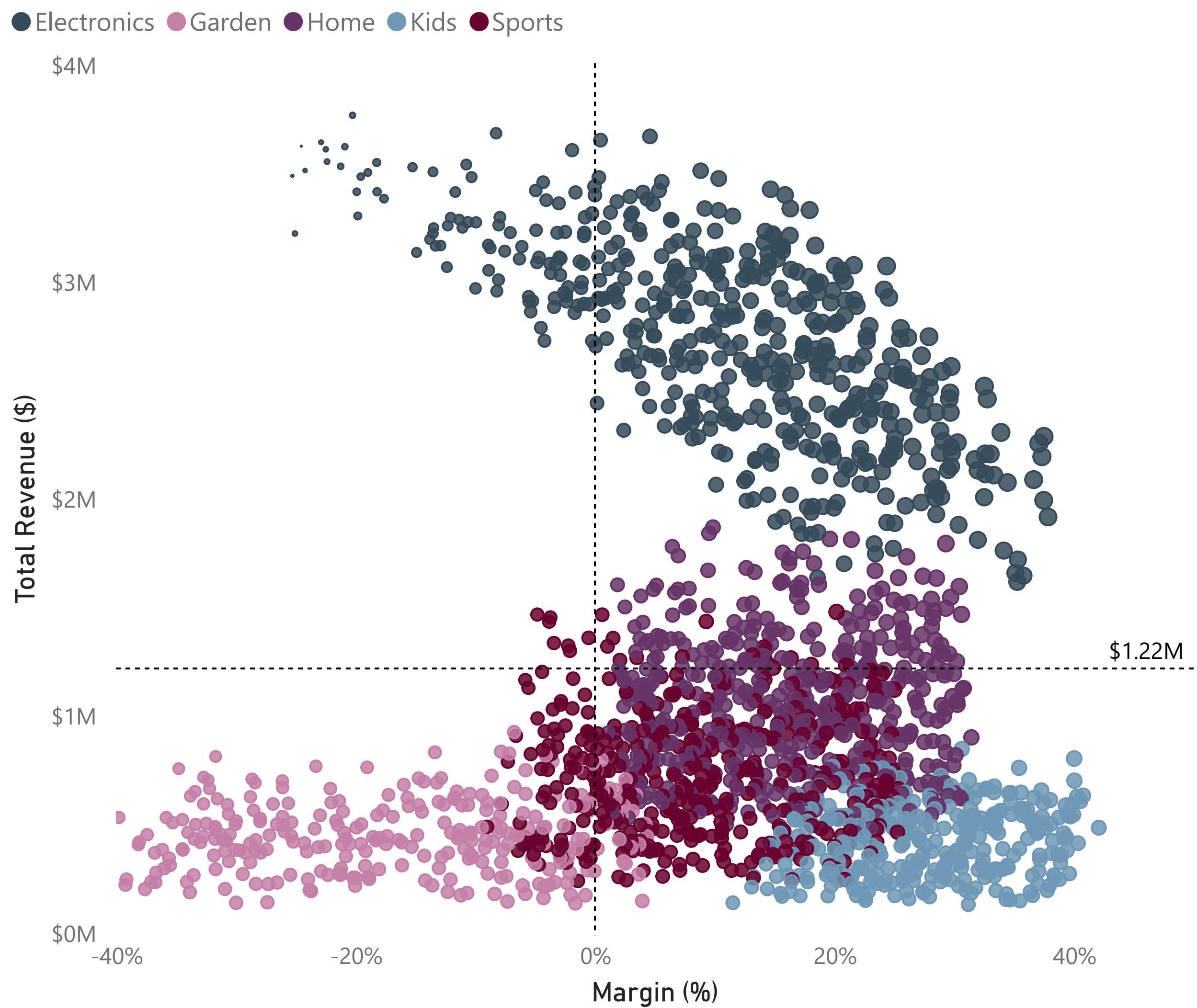


Profitability & Margin Insights



Main Insight:

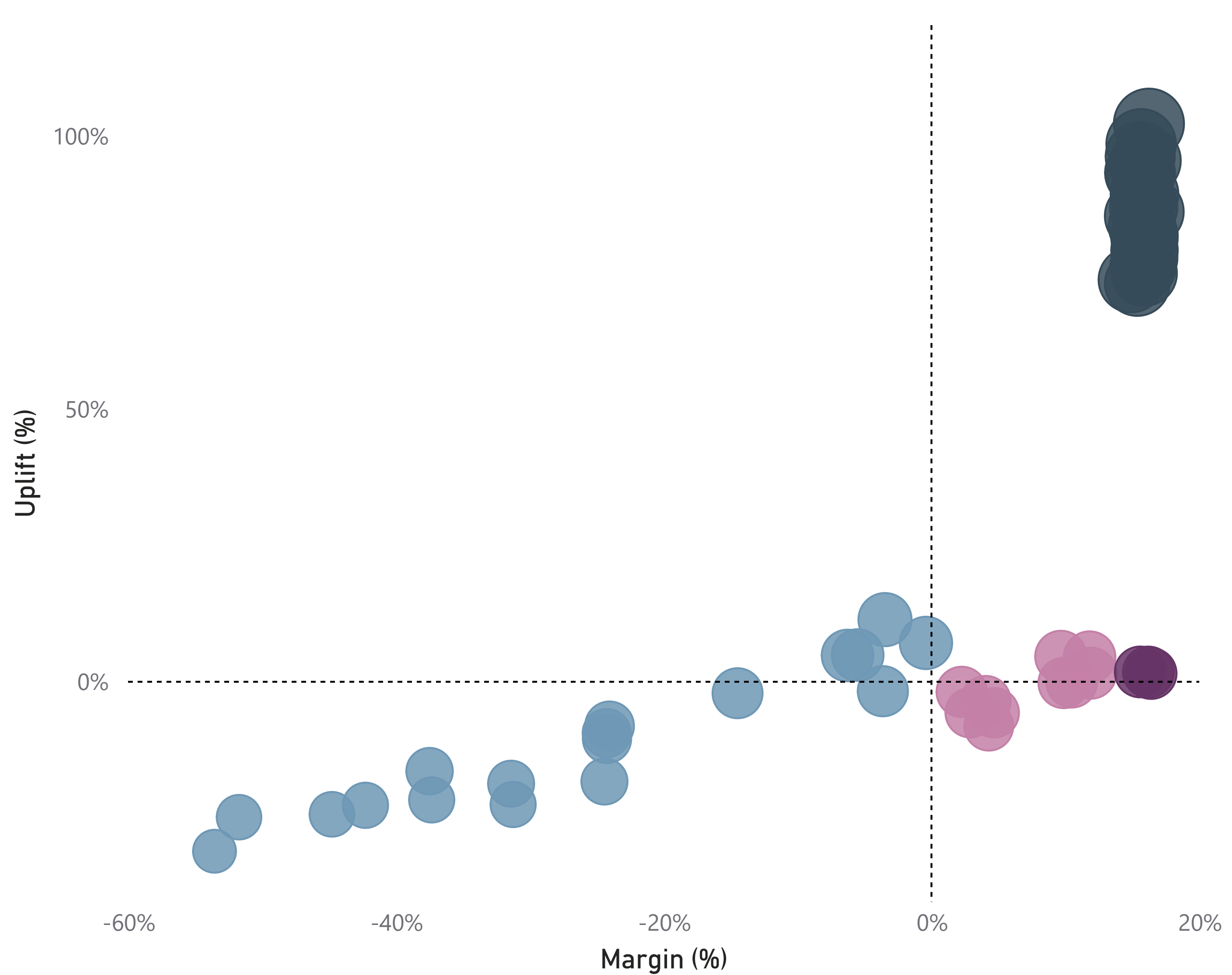
Kids products are the profit engine (most >30% margin). Garden and many Sports products destroy value (negative margin). High-revenue Electronics products sit at medium margins (15-25%). The company's total profit is concentrated in <20% of products.

Recommendations:

1. Discontinue or reprice loss-making products (>80% of Garden's range).
2. Raise prices on high-revenue, low-margin items by 5-10%.
3. Invest marketing budget in high-margin niche products to scale them.
4. Benchmark Kids' supplier agreements and apply them to other categories.

Promotion Performance & Margin Impact

● BOGO ● Fixed Amount ● Free Shipping ● Percentage



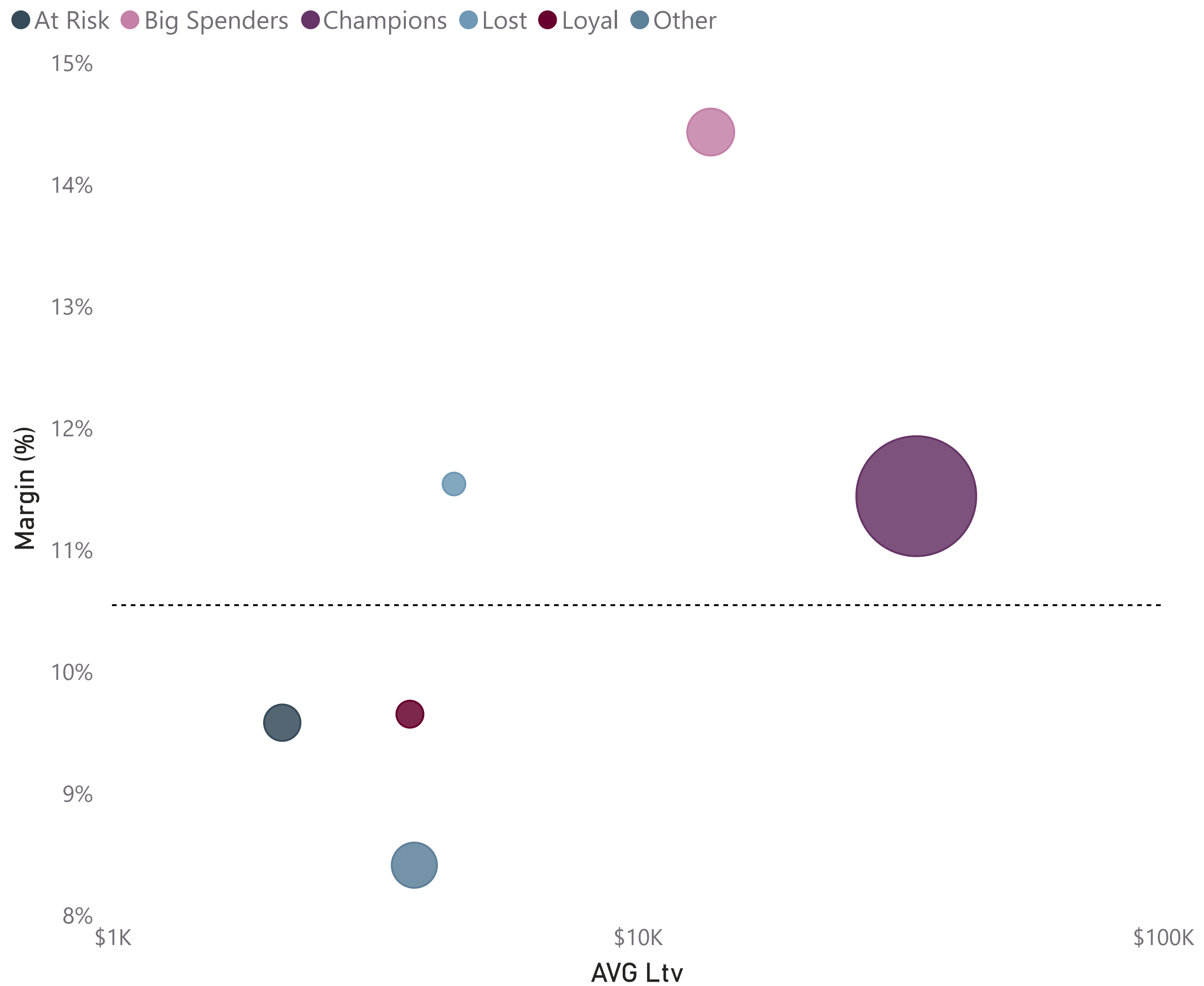
Main Insight:

BOGO promotions are the only consistently profitable type (margin ~16%, uplift ~80-100%). Percentage discounts destroy value (negative margin, especially above 30% off). Fixed Amount and Free Shipping show low or negative uplift and thin margins.

Recommendations:

1. Eliminate all percentage discounts >30% (e.g., Member Only 42% OFF).
2. Shift budget from deep discounts to BOGO campaigns.
3. Use Free Shipping to retain customers without sacrificing profit.
4. Set a margin warning rule: any promotion with margin <0% and uplift >0% must be discontinued.

Customer Segment Value (avg LTV vs Margin %)



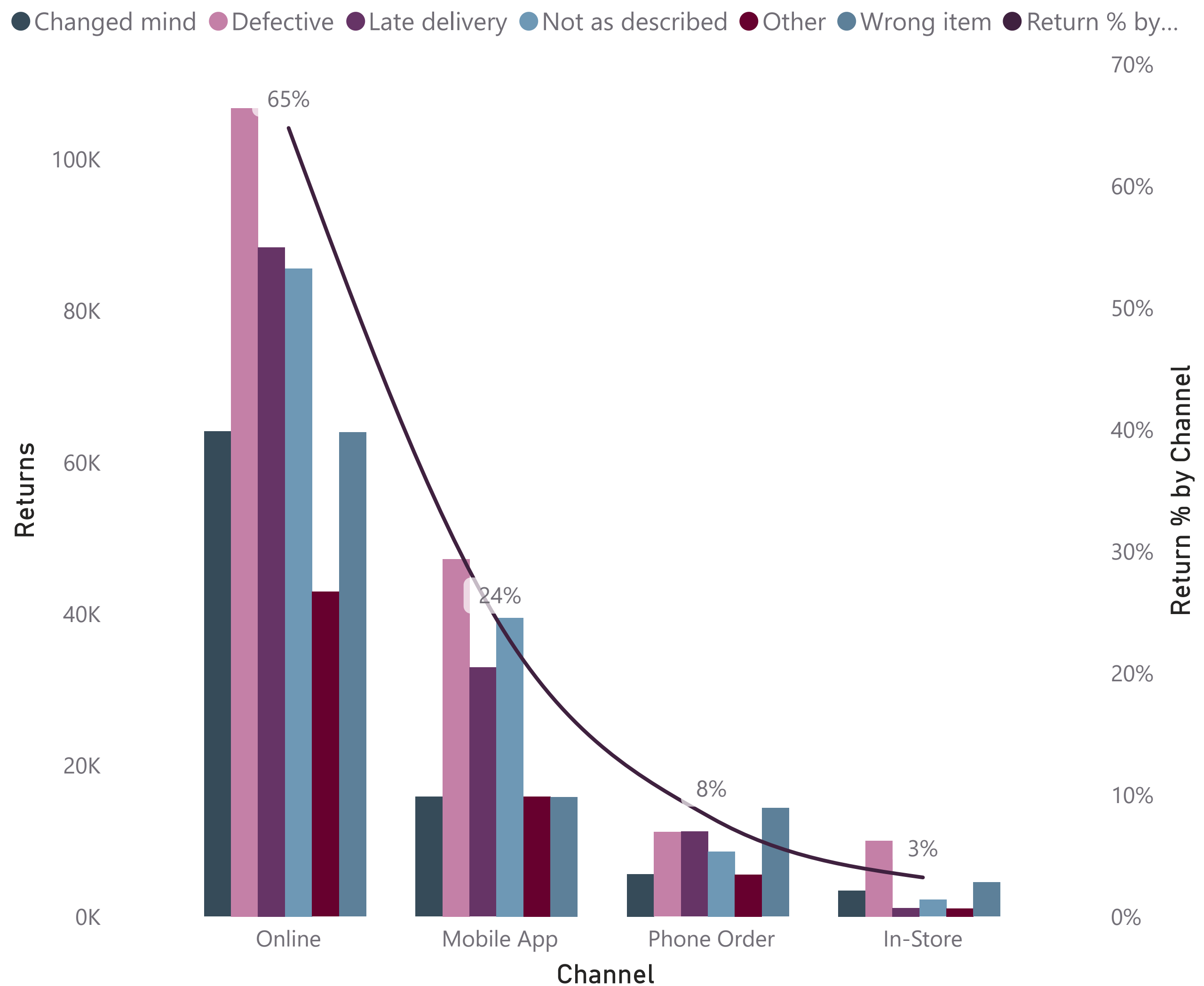
Main Insight:

Champions (53k customers, \$32.6k avg LTV, 11% margin) and Big Spenders (16k customers, \$12.8k avg LTV, 14% margin) generate 85% of total LTV. At Risk (55k customers) have very low LTV (\$2k) and thin margin (3%). Lost customers (7k) still have moderate LTV (\$4.3k, 11% margin).

Recommendations:

1. Build VIP programs for Champions and Big Spenders.
2. Launch win-back campaigns for At Risk and Lost segments.
3. Use cross-selling to raise margin of Other customers.
4. Monitor churn weekly; intervene before customers move to At Risk.

Returns Analysis by Channel & Reason



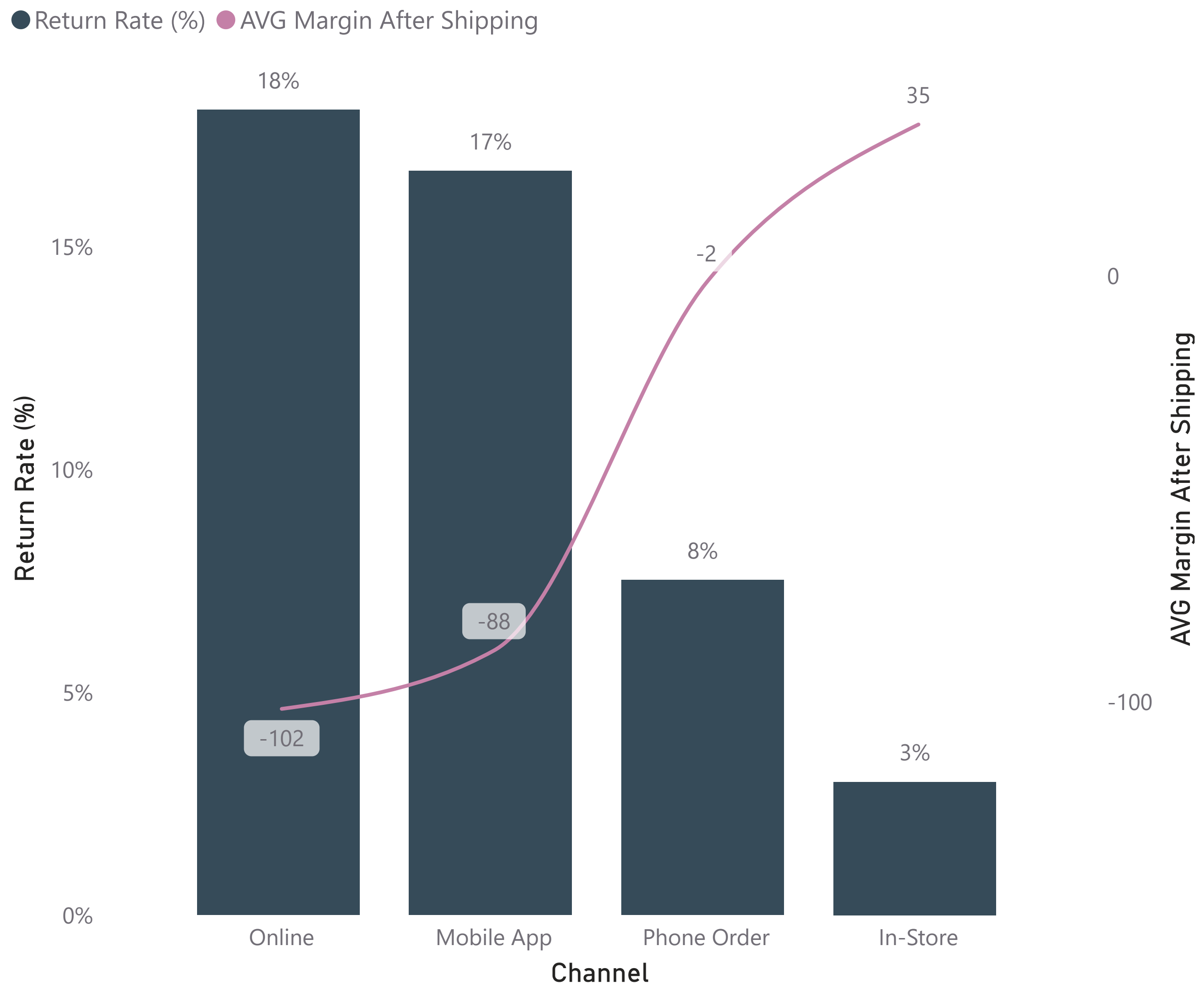
Main Insight:

Online = 65% of returns (defective 24%, late delivery 20%). Mobile App = 24% (defective, not as described). In-Store returns low (3%), no shipping cost. Return shipping cost \$3.74M (mostly Online+Mobile).

Recommendations:

1. Improve quality control (defects).
2. Optimise delivery logistics (late deliveries).
3. Enhance product descriptions.
4. Use in-store returns for upsells (exchange, not refund).
5. Monitor return reasons weekly for spikes.

Channel Performance & Profitability



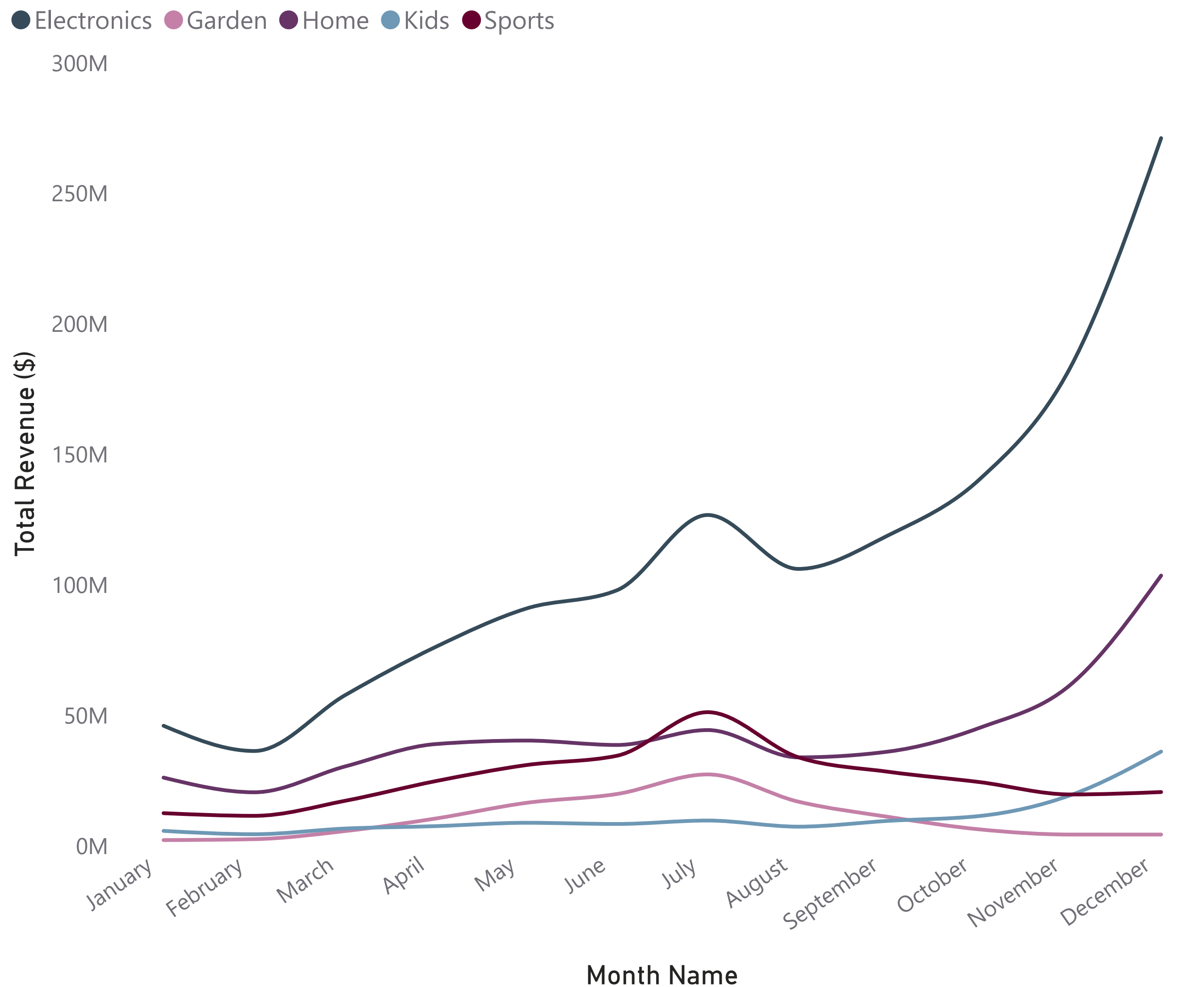
Main Insight:

In-Store is the only profitable channel (+\$32 margin, 3% returns). Online (-\$98, 18% returns) and Mobile App (-\$85, 16% returns) are loss-making. Phone Order is near break-even (-\$1.56, 7% returns). Despite 70% of transactions occurring digitally, they destroy profit.

Recommendations:

1. Reduce return rates in Online and Mobile (see returns analysis for root causes).
2. Increase free shipping minimums or add handling fees for low-value orders.
3. Promote in-store pickup to shift digital customers to the profitable channel.
4. Optimise Phone Order with order accuracy training and bundle offers.

Monthly Revenue by Category (Line Chart)



Main Insight:

December drives Electronics (\$269M), Home (\$98M), Kids (\$32M). Sports & Garden peak in July (\$49M, \$25M). February is weakest month.

Recommendations:

1. Stock Electronics/Home/Kids Oct-Dec.
2. Stock Sports/Garden May-July.
3. Run promotions in Feb-Mar to smooth dips.
4. Shift marketing budget: Q4 for holidays, Q2-Q3 for outdoor.
5. Prepare customer service for post-peak return waves.



North Department stores lead (\$191M revenue, \$19.8M margin, 120k customers). West Convenience second (\$174M, \$18.1M, 115k). Hypermarkets underperform. East Supermarket & North Convenience weakest.

1. Invest in North Department stores.
2. Replicate West Convenience model.
3. Optimise hypermarkets (reduce size, add high-margin products).
4. Review weak stores (closure/reposition).
5. Fix low-rated stores (<3.0).

Pareto Margin Analysis (80/20 Rule)

***483 products generate
80% of total margin***

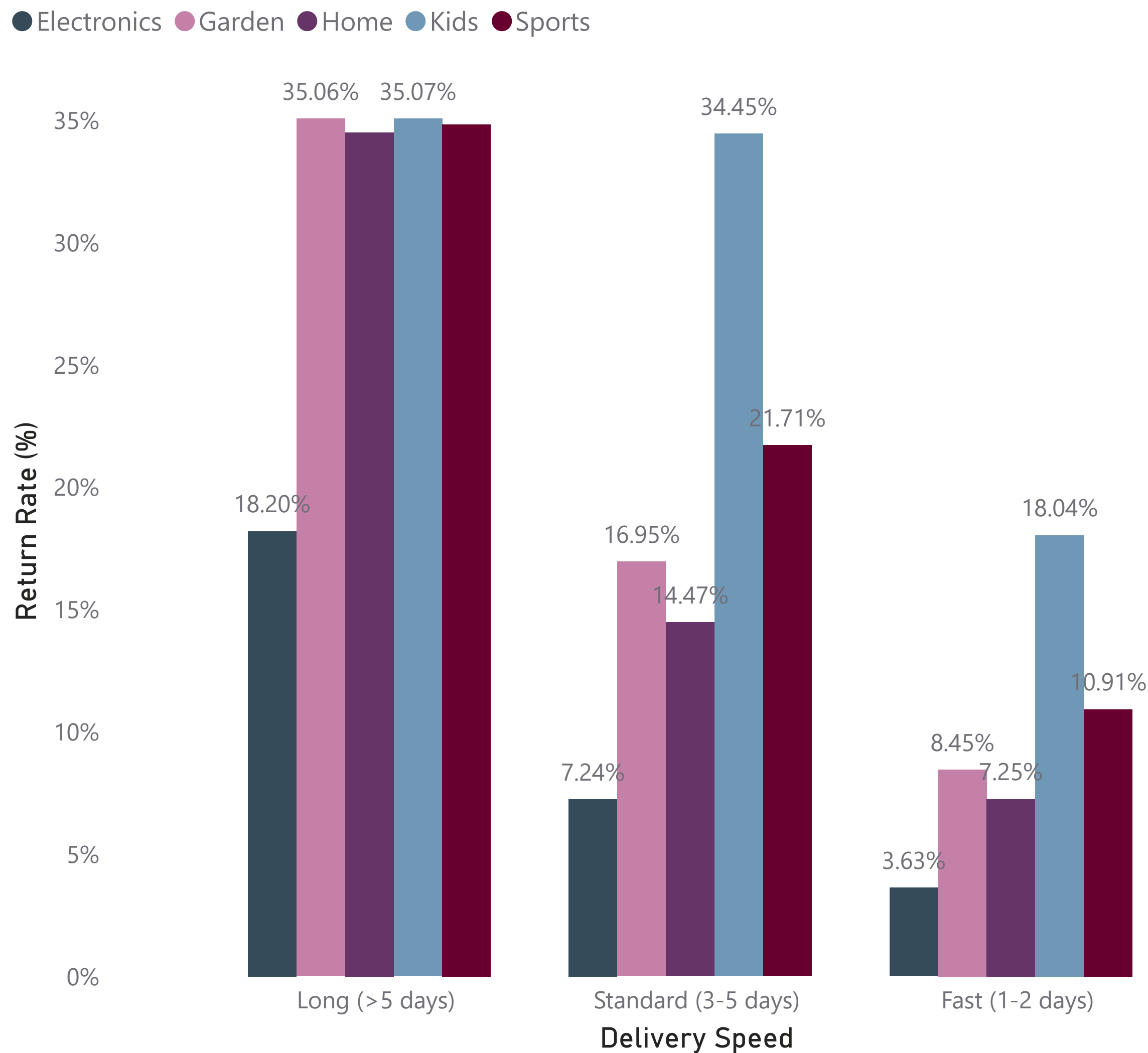
Main Insight:

483 products (24% of all products) generate 80% of total margin. The remaining 76% of products contribute only 20% of margin. This confirms the Pareto principle.

Recommendations:

1. Focus inventory, marketing, and shelf space on the top 483 products.
2. Review the long tail (remaining 1,517 products) for discontinuation or bundling.
3. Use the 80/20 rule for assortment planning and supplier negotiations.

Delivery Speed Impact on Returns



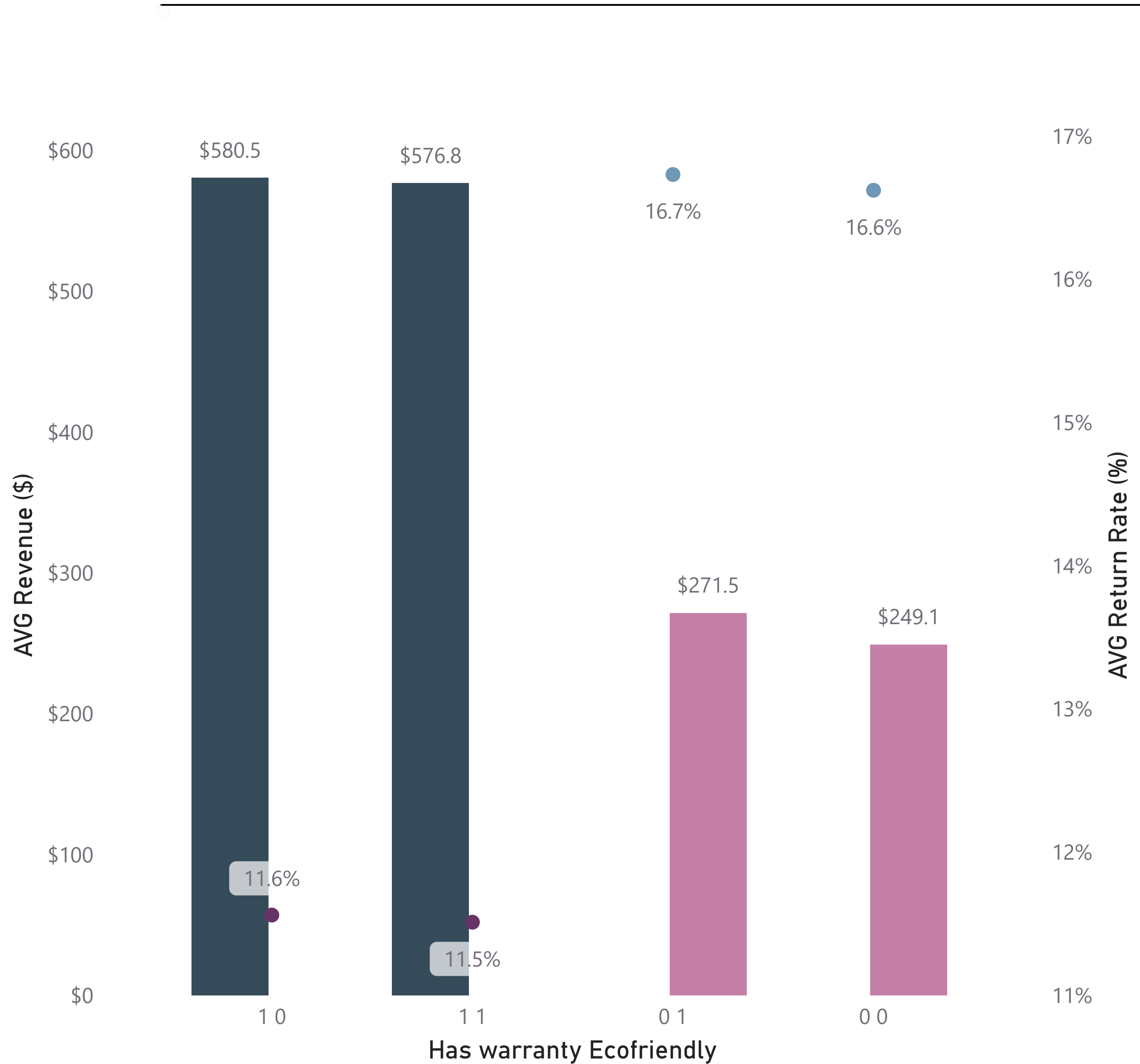
Main Insight:

Long delivery (>5 days) drives 33-35% return rates across all categories – 5-10x higher than fast delivery (3-7%). Fast delivery (1-2 days) cuts returns dramatically. Avg order value also drops with slower delivery.

Recommendations:

1. Prioritise fast delivery (1-2 days) for all categories.
2. Offer premium shipping options for Electronics & Home.
3. Set delivery SLAs to protect margin.
4. If slow delivery unavoidable, add compensation (coupon, partial refund).
5. Improve product descriptions for Kids & Garden (high returns even with fast delivery).

Warranty & Eco-friendly Impact



Main Insight:

Warranty doubles revenue (\$527-535 vs \$252-275) and cuts return rates by 30% (11-12% vs 16%). Eco-friendly alone adds minimal revenue (+\$22) and no return benefit. Combining warranty with eco-friendly does not outperform warranty alone.

Recommendations:

1. Bundle warranty with all products.
2. Shift investment from eco-friendly to warranty programmes.
3. Market warranty as a value-added service (higher revenue, lower returns).
4. Reconsider eco-friendly certification for warranty products if it adds cost.
5. Use warranty to attract more buyers (already +5-10k unique customers).